The Economy

CHAPTER 5: Economic Policy



Fiscal Policy

Looking at the role of government in the area of:

- Taxation
- Government spending
- Government borrowing

Fiscal Policy

- Main tool of fiscal policy is the annual Federal Budget.
- The budget contains projections for the coming year in the areas of spending, revenue, the deficit and debt.
- Deficit = the annual mismatch in spending and revenue.

How have Canada’s finances changed over the last decade?

Fiscal Policy

Fiscal policy can impact the economy in many key ways:

- **Spending**: via government spending in the economy and through transfer payments to citizens.
- **Taxes**: changes in taxes have a direct impact on spending decisions by both consumers and businesses.

The Bank of Canada - Duties

- Regulate credit & currency
- Control and protect the external value of the dollar
- Use monetary policy to reduce fluctuations in prices, employment, trade and production
- Promote the country’s economic welfare

The Bank of Canada – Functions

- Issues bank notes
- Acts as the government's fiscal agent
- Controller of the clearing system
- Lender of last resort
- Maintains orderly conditions in financial markets

Main and most visible function: Conduct monetary policy

The Bank’s Influence Over Interest Rates

- Cash management (via the growth in the money supply)
- Open market operations (direct influence)
- Changes in the bank rate (direct influence)

Monetary Policy

The most important role of the BoC

Objective Of Monetary Policy:

Growth with price stability = Growth without inflation

Goals for max. increases in CPI:

- inflation-control target
- target range is 1% to 3%
- BoC goal is to keep inflation at the 2% target midpoint

Monetary Policy

Objective:

Moderate growth in the money supply leads to moderate growth in the economy and modest inflation, thus:

Monetary Policy = Management of the growth of the money supply

The Overnight Money Market

The BoC implements monetary policy by influencing "overnight money"

- The overnight market is a marketplace where financial institutions lend each other money on an overnight basis.
- When the BoC changes the target for the overnight rate, other short-term interest rates also usually change.
- The BoC establishes a 50 basis point "operating band" for overnight financing.
  – The Bank Rate is set at the upper limit of the operating band

The Overnight Money Market

- Changes in the operating band indicate an easing or tightening of monetary conditions.
- Each day, the BoC targets the mid-point of the band.
- Changes are announced by press release.

Operating Band

SPRA: BoC lends overnight at the upper limit of the operating band



BANK RATE

Operating Band: 50 Basis Points or 0.5%

(BANK RATE – 0.50%)



SRA: BoC sells securities at the lower limit of the operating band

Open Market Operations

- Policy aimed at having a direct impact on the demand for credit in the economy.
- When would the BoC use a Special Purchase and Resale Agreement (SPRA) and a Sale and Purchase Agreement (SRA)?

Open Market Operations

Special Purchase and Resale Agreements (SPRAs)

When: Overnight money is trading *above* the target rate

Objective: Relieve upward pressure on overnight rates and reinforce the upper limit of the target

Why: May dampen economic activity by leading to higher short-term rates across the entire spectrum of market rates

How: **?**

Open Market Operations

Special Purchase and Resale Agreements (SPRAs)

How:

- BoC buys short-term government securities from primary dealers
- The securities are then sold back at a predetermined price the next business day

  - **the BoC lends to a FI overnight at the top end of the target**
  - **if a FI has a need to borrow overnight, the preference is to borrow at a lower rate than what is prevailing in the market**
  - **the BoC becomes an alternative to borrowing from other lenders**
  - **this drives down short-term interest rates back to the target**

Open Market Operations (cont'd)

Sale and Purchase Agreements (SRAs)

When: Overnight money is trading *below* the target rate

Objective: Relieve downward pressure on overnight rates and reinforce the target

Why: May lead to lower interest rates throughout the economy and to an increase in inflation pressures in the economy

How: **?**

Open Market Operations (cont'd)

Sale and Purchase Agreements (SRAs)

How:

- BoC offers to sell government securities to primary dealers
- The securities are bought back at a predetermined price the next day

  - **the BoC borrows from a FI overnight at the bottom of the target**
  - **if a FI has a need to lend overnight, the preference is to lend money at a higher rate than what is prevailing in the market**
  - **the BoC becomes an alternative by offering higher overnight lending rates**
  - **this drives up short-term rates back to the target**

Changes in the Bank Rate

Direct influence, as it sends a message to all market participants

- Bank rate = Minimum rate of interest that the BoC charges on short-term loans to financial institutions.
- Set at the upper limit of the Bank's operating band for the overnight lending rate.

Cash Management Operations

- Large Value Transfer System
- Drawdowns and Redeposits

Economic Theories

- Rational expectation theory
- Keynesian theory
- Monetarist theory
- Supply-side economies